



DEPARTMENT OF REVENUE

Taxation Division

PASSENGER MILE TAX

1 CCR 201-9

[Editor's Notes follow the text of the rules at the end of this CCR Document.]

Rule 42-3-304(13). Passenger Mile Tax.

Basis and Purpose. The bases for this rule are sections 39-21-112(1), 42-1-204, 42-3-304(13), and 42-3-307, C.R.S. The purpose of this rule is to clarify when the passenger mile tax applies.

- (1) **General Rule.** The passenger mile tax applies to any vehicle with a seating capacity of more than fourteen that is operated for the transportation of passengers over public highways of this state for compensation.
- (2) **Exceptions.**
 - (a) For buses or trolley coaches engaged in the mass transportation of the general public, the tax does not apply to service rendered within the boundaries of a city, city and county, or incorporated town, but does apply to service rendered outside these designated areas.
 - (b) For a vehicle operated by a government entity or a charitable organization as defined by section 39-26-102(2.5), C.R.S., the tax does not apply if no direct charge for transportation is made to the user of the service. However, for a vehicle operated by a government entity or a charitable organization as defined by section 39-26-102(2.5), C.R.S., the tax does apply if a direct charge for transportation is made to the user of the service.

Editor's Notes

History

Entire rule eff. 08/30/2023.